

Calderwood Partners LLC

www.calderwoodpartners.com

February 19, 2014

David Carter
Director of Operations
Pacheco-Casey

Dear Mr. Carter:

This letter records the terms on which our firm will advise Pacheco-Casey on the transformation of its procurement function, and it takes effect as our agreement when you countersign the enclosed copy and return it to me. I have set the terms out at some length and in plain language, in the belief that an engagement of this kind runs more surely when both sides have read the same account of it before any work begins, and that the hour spent reconciling expectations at the outset is repaid many times over in the months that follow. I would ask you to read what follows against your own understanding of the assignment, and to tell me, before you sign, of any point on which the two do not sit comfortably together.

The Assignment and Our Approach to It

The assignment is a transformation of the procurement function through which Pacheco-Casey sources the goods and services it buys, and its object is a way of buying that is more deliberate about category, supplier, and contract than the present arrangement allows. We will begin by building a faithful picture of how the company buys today, assembling its spend by category and by supplier from its own records, tracing the processes and the points at which purchasing decisions are actually made, and marking the places where cost has settled that no longer buys the company anything it values. From that baseline we will develop and test options for a revised procurement model and a sourcing approach to go with it, weigh each against the operational and financial consequences we can defend, and work with your people toward a design they are able to run once we have gone. Where an option carries a cost as well as a benefit, we will say so plainly rather than present it as though it carried none.

It is worth being equally clear about the boundary of the work. This is a redesign of how Pacheco-Casey buys, informed throughout by the spend evidence, and not an audit of past purchasing, a negotiation conducted on your behalf, or the procurement of a new purchasing system; and while we will plan the transition and

prepare your team to carry it, the execution of new contracts and supplier arrangements will remain yours to lead unless we later agree, in writing, to a separate engagement covering that work. Should the scope change materially once we are underway, whether at your request or because the analysis brings something to light that neither of us can yet see, we will describe the change and settle its terms with you before acting on it.

The People Who Will Carry the Work

I will hold this engagement for the firm and answer for what we deliver under it. Brenda Rodriguez, a senior consultant, will lead the analysis on which the redesign rests, and will be responsible for ensuring that the spend and supplier picture we present can be defended against a hard question. Matthew Parrish, a research associate, will assemble the outside reference points against which we measure the company's categories and terms, and Daniel Leach, also a research associate, will take the first pass on the purchasing data and keep the underlying records in order, so that any figure we later show can be traced back to its source. You will work with a small and consistent team, and the people whose names stand on our analysis will be the people who have done it.

Fees and Payment

Our fee for this engagement is a fixed fee of \$110,500, which covers the work described above together with the ordinary meetings, correspondence, and interim materials that accompany it, and which does not extend to work we may later agree to add, such as the negotiation or implementation of new supplier arrangements, that we would scope and price separately before beginning. We will invoice against the fee at regular intervals as the work proceeds, and each invoice falls due within thirty days of its date. I have stated the figure here, in the body of the letter, so that you can weigh it directly against the work it covers.

Term and Termination

The engagement will commence on March 1, 2014 and is planned to run for approximately eight months, that being the period over which we have scoped the analysis and the design work, though I will tell you early if the assignment proves to need more time or less. Either of us may bring the engagement to an end on reasonable written notice to the other. Should you choose to end it, you will owe our fee earned to the date of termination together with any costs properly incurred to that point, and nothing beyond; should we do so, which we would undertake only for a reason our professional standards require, we will return any part of the fee that

relates to work not yet performed and will help hand the assignment over in an orderly way.

Confidentiality

We will treat the information you place in our hands, together with the fact and the substance of this engagement, as confidential, and we will use what you disclose to us solely for the work you have retained us to perform. We ask the same of Pacheco-Casey in respect of the methods and materials we bring to the assignment. These obligations will outlast the completion or termination of the engagement, and neither party will disclose the other's confidential information except where the law or a proper regulatory authority compels it, and then only so far as compelled and, where we are able, on notice to the other.

Limitation of Liability

We will perform this engagement with the care and skill our profession expects, and our advice will represent our considered judgment on the information available to us. We do not, however, warrant a particular commercial result, since the savings and improvements a procurement transformation can yield depend in large part on decisions and actions that will lie with your organization rather than with ours. Our aggregate liability to you arising out of or in connection with this engagement will be limited to the fee actually paid to us under it, save where the law does not permit such a limit, and neither of us will be liable to the other for indirect or consequential loss.

Governing Law

This letter, with the signature page that accompanies it, constitutes the entire agreement between us in respect of this engagement, supersedes any prior discussion or understanding, and may be varied only by a writing signed by both parties. It will be governed by and construed in accordance with the law of the state in which our firm maintains its principal office, and each of us submits to the courts of that state in respect of any dispute arising under it.

If the terms set out above reflect your understanding of the assignment, I would ask you to sign and date the enclosed copy and return it to me, upon which we will confirm the commencement and begin. If any part of it warrants a conversation first, tell me and I will make the time this week to talk it through before you sign. I am Julie Ramsey, and I look forward to working with you and your people.

Sincerely,

Julie Ramsey

Managing Principal

Date: February 19, 2014

David Carter

Director of Operations, Pacheco-Casey

Date: February 19, 2014